

Prompt 1: scan the numbers

The Home Depot, fiscal 2021 to fiscal 2025 (year ended 1 February 2026), with the fourth quarter. Prompt version 2.13, run 4 October 2026. Test output: a real company used for testing only.

Measure	FY2021 (to Jan-22)	FY2022 (to Jan-23)	FY2023 (to Jan-24)	FY2024 (to Feb-25, 53 wks)	FY2025 (to Feb-26)	Q4 FY2024 (14 wks)	Q4 FY2025 (13 wks)	Industry
Days sales outstanding		7.7	7.9	11.4	12.4	12.1	13.3	
Days inventory		86.6	75.1	81.9	85.6	86.2	91.3	
Days payable		39.8	35.9	41.7	38.1	43.9	40.6	
Receivables growth less revenue growth, pts			+3.3	+42.8	+10.9	+33.2	+17.9	
Inventory growth less cost-of-sales growth, pts			-12.9	+7.4	+6.7	-2.8	+13.6	
Payables growth less cost-of-sales growth, pts			-9.5	+14.5	-7.1	+4.4	-0.2	
Gross margin, %	33.6	33.5	33.4	33.4	33.3	32.8	32.6	34.2
Operating margin, %	15.2	15.3	14.2	13.5	12.7	11.3	10.1	11.9
Accruals, % of average assets			-7.9	-5.8	-2.2	-1.7	-0.7	
Free cash flow / net income	0.85	0.67	1.19	1.10	0.89	1.19	0.89	
Depreciation rate, %				7.44	7.38			
M-score			-2.80	-2.12	-2.42			
Receivables, % of sales		2.1	2.2	3.1	3.4			2.8
Inventory, % of sales		15.8	13.7	14.7	15.7			16.8
Payables, % of sales		7.3	6.6	7.5	7.0			9.4
Capex / depreciation		1.13	1.07	1.06	1.07			1.2

Cost line: Cost of sales. Depreciation is the property note's depreciation and finance lease amortization expense (\$3,452m in FY2025), used in place of the spreadsheet's depreciation lines for the rate, the M-score and capex against depreciation. Days use actual day counts (371 in FY2024, 98 in Q4 FY2024); quarter accruals are not annualized. The quarters come from the spreadsheet, with its one shaded cash flow line (depreciation) left out.

Flags

- Free cash flow fell from 1.10x net income in FY2024 to 0.89x in FY2025 (Q4: 1.19x to 0.89x); the cash flow statement shows inventories taking \$1,498m and payables and accrued expenses \$1,058m.
Size 8.1% of pre-tax income (\$1,510m, net income less free cash flow); down two years running, and two Q4 comparisons.
- Operating margin fell from 13.5% to 12.7% in FY2025 (Q4: 11.3% to 10.1%) while gross margin slipped 0.1 pt; selling and administrative expense rose from 18.0% to 18.6% of sales after acquisitions costing \$17,644m (FY2024) and \$5,410m (FY2025).
Size 7.2% (\$1,334m, the 0.81 pt fall times FY2025 revenue); down three years running, and two Q4 comparisons.
- Days inventory rose from 81.9 to 85.6 in FY2025 (Q4: 86.2 to 91.3), inventory up 10.1% against cost of sales up 3.4%; the FY2025 acquisition could explain part.
Size 5.9% (\$1,102m, the balance less its level at FY2024 days); up two years running, and two Q4 comparisons.
- Days payable fell from 41.7 to 38.1 in FY2025, payables down 3.7% while cost of sales rose 3.4%; at 7.0% of sales, payables sit 2.4 pts under the industry's 9.4%.
Size 5.9% (\$1,090m, the level at FY2024 days less the balance); one year, after a rise in FY2024.

5. Days sales outstanding rose from 7.9 to 11.4 to 12.4 over FY2023 to FY2025; customer receivables in the note went from \$924m to \$1,896m to \$2,588m, alongside the two acquisitions. At 3.4% of sales, receivables sit 0.6 pt over the industry's 2.8%.

Size 2.4% (\$438m, the balance less its level at FY2024 days); up three years running, and two Q4 comparisons.

Revised figures: none moved income or equity; the later changes are reclassifications (\$3,606m of intangible assets split out of other assets at January 2024, and intangible amortization of \$179m, \$186m and \$52m split out of cash flow depreciation).

Not calculated: the allowance as a share of gross receivables (both annual reports say only that it was not material); the depreciation rate before FY2024 and for the quarters (gross property at January 2023 and quarterly note figures are not in the documents); FY2022 growth gaps, accruals and M-score (no January 2022 balance sheet).

Items to check, not findings. Every figure was calculated in code from the attached documents; the code is available on request.